

24STCV06670 24STCV06670

County: los-angeles

Division: Civil Law and Motion

Department: 510

Hearing date: 2026-07-10

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C510%2C07%2F10%2F2026

Source SHA-256: 4d34397e62b9be2cbc77e5639954543cefc7d7a79954ac1fd2c9b795565b7a29

Case Number: 24STCV06670 Hearing Date: July 10, 2026 Dept: 510

No. 4 – Auto Auction Group, Inc. v. Auto

Finance Solutions, LLC

Cross-Complainant Auto

Finance Solutions, LLC's Request for Default Judgment on the Cross-Complaint

Cross-Complainant Auto

Finance Solutions, LLC requests court judgment by default against four

Cross-Defendants: (1) Auto Auction Group, Inc.; (2) Onnik Mehrabian; (3) Papa & Sons, LLC; and (4) First Business International.

Cross-Complainant's

application for default judgment suffers multiple defects.

1. Insufficient Factual Allegations

Against Cross-Defendants Papa & Sons, LLC and First Business International

First, Cross-Complainant

has not shown sufficient grounds for court judgment against Cross-Defendants

Papa & Sons, LLC and First Business International. The cross-complaint

concerns a contract entered into between Cross-Complainant and Cross-Defendant

Auto Auction Group, LLC. Cross-Defendant Onnik Mehrabian signed a guaranty and

is therefore personally liable under the contract. However, Cross-Defendants

Papa & Sons, LLC and First Business International did not sign the

contract.

"Under the 'well pleaded'

complaint rule, it is error to enter a default judgment on a complaint that

fails to state a cause of action against the defaulting defendant.” (Ferraro v. Camarlinghi (2008) 161 Cal.App.4th 509, 539.)

Cross-Complainant argues

that these entities are alter egos of Onnik Mehrabian and therefore are liable for the damages owed. Wael Radwan, General Manager of Operations for Cross-Complainant, states:

During my communications with Cross-Defendant Mehrabian, he expressly represented to me that Cross-Defendants Papa & Sons, LLC and First Business International are his alter egos. Cross-Defendant Mehrabian further disclosed that he is the individual and sole owner of each of those entities. Mr. Mehrabian provided both written and oral representations asserting that the assets purportedly owned by Papa & Sons, LLC and First Business International were, in fact, his personal assets. He further described that those entities, together with various convoluted liens and other mechanisms, were established for the specific purpose of concealing his personal assets.

(Radwan Decl., ¶¶ 9-10.)

These conclusory

allegations and legal conclusions of alter ego liability are insufficient to prove liability. To obtain judgment against Cross-Defendants Papa & Sons, LLC and First Business International, Cross-Complainant should provide additional evidence showing that these corporate entities are indeed alter egos of the parties to the contract.

2. Pre-Judgment Interest

Cross-Complainant also

requests excessive interest. Cross-Complainant seeks \$61,264.27 in interest based on an annual rate of 13.95% as provided in the parties’ agreement. The California Constitution, Article XV, § 1 limits interest to 10% unless an exemption applies. Los Angeles Superior Court Local Rule, rule 3.206 provides, “If interest is requested in excess of the usury limitations of California Constitution Article XV, Section 1, proof must be presented of [Cross-Complainant’s] exemption from the usury limitations unless an exemption has been pleaded in the complaint and admitted by the entry of default.”

The cross-complaint does

not plead an exemption from the usury limitations. Cross-Complainant did not submit proof of exemption. Cross-Complainant must either present proof of exemption or request interest no greater than 10%.

3. Dismissal of Roes

Lastly, an application for default judgment must include "[a] dismissal of all parties against whom judgment is not sought or an application for separate judgment against specified parties under Code of Civil Procedure section 579, supported by a showing of grounds for each judgment." (California Rules of Court, rule 3.1800(a)(7).) Cross-Complainant's cross-complaint names Roes 1-20 as Cross-Defendants. Cross-Complainant has not dismissed them or shown grounds for a separate judgment against them.

Disposition

Cross-Complainant Auto

Finance Solutions, LLC 's request for default judgment is denied without prejudice.